a 5 percent compounded annual rate, then in one year you will have $105. In two years, you will have $110.25 because you earn 5 percent on your $105. Therefore, you either want $100 now or $110.25 in two years—both are worth the same to you.

Analysts use the discounting method to figure out how much they should pay for something now if it is expected to be worth more in the future. Discounting is simply the reverse of accruing interest. For example, in this example, if $110.25 is divided by 1.05 once, and then divided by it again it will yield $100. In other words, $110.25 is divided by $(1.05)^2$ to get back to $100, as opposed to multiplying $100 by $(1.05)^2$ to get to $110.25. Such a method can be applied to much longer periods as well. For example, if someone offered to give the innovative investor $150 in 10 years or $100 now, then if there was a perfectly safe way to earn 5 percent the innovative investor should take the $100 now because $150 divided by (1.05^{10}) equals $92 today.

Taking the concepts of supply and demand, velocity, and discounting, we can figure out what bitcoin's value should be today, assuming it is to serve certain utility purposes 10 years from now. However, this is much easier said than done, as it involves figuring out the sizes of those markets in the future, the percent share that bitcoin will take, what bitcoin's velocity will be, and what an appropriate discount rate is. The discount rate should be a function of risk, which often for cryptoassets is 30 percent or more. This is more than double what common discount rates are for risky stocks.[14]